

Why Do Some People Think Vietnam Can Rise?

Zhihu

The question we should ask is not whether Vietnam can rise, but when Vietnam will complete its rise — for the road of Vietnam's rise is already half travelled.

On Zhihu One Must Uphold Materialist Principles: First List the Physical Industrial Indicators

Steel output: over 20 million tonnes; per capita, equivalent to China's level of 2003/2004.

Annual per-capita electricity generation: 3,000 kWh, reaching China's level of 2009/2010.

Passenger car output: 230,000 units; per capita, equivalent to China's level of 2004/2005.

Refining capacity: about 16 million tonnes a year; per capita, equivalent to China's level of 2003/2004.

Fertiliser output: 8 million tonnes (of which 2.7 million tonnes is urea); per capita, already exceeding China (over 80 million tonnes) — though Vietnam reportedly has no ammonium nitrate production capacity for now.

PVC capacity: 350,000 tonnes a year; per capita, equivalent to China's level of 2003/2004.

Electrolytic aluminium: none yet; projects under construction and planning total 1.75 million tonnes, to be commissioned in 2028; once operating, per capita it will reach China's level of 2011/2012.

PV module capacity: 20 GW; per capita, reaching China's level of 2022.

Expressway length: 3,800 km; per capita, equivalent to China's level of 2006; by land area (China minus the sparsely populated northwest and Tibet leaves 5.33 million km²; Vietnam is 330,000 km²), equivalent to China's level of 2008/2009.

High-speed rail: none yet; approved projects total about 1,700 km, expected to be fully built by 2035; when complete, per capita it will reach China's level of 2016/2017, and by land area, China's level of 2017/2018.

Hanoi–Halong high-speed rail: about 120.9 km, design speed 350 km/h, planned to be completed and operational in 2028. The North–South high-speed rail: planned total length 1,541 km, connecting

Hanoi and Ho Chi Minh City, design speed 350 km/h, planned to start construction in 2027 and be completed in 2035.

Total metro line length: 40 km in operation, 44 km under construction, 11 km approved pending construction. Considering that Chengdu opened its metro only in 2010 and Hangzhou its first line in 2012, Vietnam's rail construction has reached China's 2010s level.

Laptop and desktop PC shipments: about 30 million units in total; per capita, already far exceeding China's best year of 2021 (57 million).

Mobile phone shipments: 15 million units; per capita, equivalent to China's level of around 2010.

That is enough physical indicators; they basically show that Vietnam's overall development level is close to China's between 2005 and 2010 — roughly the level of 2008.

Now Let Us Look at the Key Monetary Indicators

Manufacturing output: manufacturing value added in 2024 was \$116.4 billion, or about \$70 billion in 2006 dollars; converted per capita, equivalent to China's level of around 2005/2006.

FDI: growing year by year, reaching \$33.6 billion in 2025; registered FDI stock about \$502.8 billion, actually arrived \$322.5 billion — per capita, both already exceed China's best years.

2021: about \$26.46 billion. 2022: about \$25.14 billion. 2023: about \$31.07 billion. 2024: about \$31.38 billion. 2025 (first 11 months): \$33.69 billion, up 7.4% year on year.

Per-capita GDP: about \$4,700; adjusting for inflation, equivalent to China's level of 2007/2008.

GDP growth rate: fluctuating around 7%, close to China's growth rate in the years after 2012 (about 7%). But Vietnam's current development level is below China's of 2012, and its GDP growth rate is still rising.

2015: 6.0%. 2016: 6.2%. 2017: 6.7%. 2018: 7.1%. 2019: 7.0%. 2020: 2.9% (COVID). 2021: 2.6% (COVID). 2022: 8.0%. 2023: 5.07%. 2024: 7.09%. In the first three quarters of 2025, Vietnam's GDP grew markedly year on year: Q1 7.05%, Q2 7.96%, Q3 8.23%.

These indicators also show that Vietnam has currently reached China's level between 2005 and 2010.

Population

Annual births: the average number of births in Vietnam from 2010 onwards is about 1.5 million; in proportion to population, this exceeds the post-2000 level of China, reaching or surpassing the total

births of Japan and South Korea combined. Vietnam will still have quite abundant human resources for the next 20–30 years.

Year — Births (10,000s): 2010: 152; 2011: 156; 2012: 160; 2013: 162; 2014: 171; 2015: 172; 2016: 163; 2017: 160; 2018: 149; 2019: 151; 2020: 149; 2021: 146; 2022: 142; 2023: 139.

Education: junior secondary education has been universalised; in 2022 Vietnam's gross enrolment rate in senior secondary was 97.25%. Vietnam has now legislated free senior secondary education — ahead of China in this respect. In 2024, Vietnam's gross tertiary enrolment rate reached 32%, with a government plan to raise it to 45% by 2030. China's gross tertiary enrolment was 30% in 2012 and 45.7% in 2017. So Vietnam's educational development as a whole has reached China's level of 2012. The rapid increase of educated labour will support Vietnam's imminent (within ten years) large-scale industrial upgrading. The Vietnamese government is not only promoting universal education but has also decided to develop English education; for detailed analysis, see "How Should We View Vietnam's Policy of Making English the Foundation of the Nation?"

Development of Mid- and High-End Industries

Automotive industry: the domestic giant VinFast has risen; in 2024 it delivered nearly 100,000 EVs with revenue of \$1.8 billion, holding over 90% of the Vietnamese market. In the first half of 2025, VinFast delivered 67,569 EVs to Vietnamese customers, 11,382 of them in June alone. VinFast has already built a plant in Indonesia and plans to build one in India.

The technology level of VinFast's plant is quite high; for details, see the videos posted on Bilibili.

Automotive supplier industry: the localisation rate is currently only 20%; the government is pushing to raise it to 65% by 2035:

According to the Department of Industry under Vietnam's Ministry of Industry and Trade, Vietnam currently has more than 377 automobile-related manufacturing enterprises. Among them, more than 40 produce and assemble cars; 45 produce chassis, bodies, and trunks; 214 produce auto parts. Vietnam has fewer than 100 tier-1 parts suppliers and fewer than 150 tier-2 and tier-3 suppliers. The output of Vietnam's auto supplier industry accounts for only about 2.7% of the whole industry's output. The localisation rate for private cars of 9 seats or fewer is low. The products already localised are either of very low technological content or bulky and labour-intensive — for example, inner tubes, tyres, seats, rear-view mirrors, glass, wiring harnesses, batteries, plastic products... 287 components in all, detail-dense, with a localisation rate of about 20%. By 2035, in the period 2026–2035, Vietnam's domestic auto supplier industry must satisfy more than 65% of the parts demand of domestic car production.

Electronics industry: Vietnam's electronics industry has developed from pure assembly into the depth of the components supply chain:

The Saigon Liberation Daily reported on 20 June: Vietnam Samsung Electronics recently disclosed that, by the end of April this year, 201 Vietnamese enterprises (excluding foreign-invested ones) had been officially approved as Samsung suppliers, of which 23 are tier-1 suppliers and 178 tier-2, with tier-1 suppliers increasing by 19 over 2015. These 201 local enterprises are supplying parts to Samsung Electronics Vietnam, Samsung Electronics Vietnam (Thai Nguyen), and Samsung's integrated electronics company in the Ho Chi Minh City high-tech park. Thus the localisation ratio of Samsung's products in Vietnam has risen from 35% in 2014 to 57%.

For the state of the industrial chain, see:

Semiconductor industry: in design, Vietnam already has 58 design companies — 13 local and 45 foreign — employing about 7,000 design engineers. In packaging and testing, Vietnam has 8 packaging and testing projects under way, including Intel's largest packaging and testing plant in the world, plus investments by Amkor, Hana Micron, and others. The Vietnamese government is developing the semiconductor industry with unprecedented force, striving to become one of the world's semiconductor powers:

The Vietnamese government has issued the "Semiconductor Industry Development Strategy to 2030 and Vision to 2050," showing strong determination. Its near-term goals before 2030 include: building Vietnam's first wafer foundry before 2030, currently led by the largest telecom operator Viettel, with about \$500 million of government support, expected to be completed in 2027; and training 15,000 chip design engineers before 2030, solving the core talent problem of the industry. In July this year, Vietnam's tech group CT officially launched in Ho Chi Minh City the first self-designed IoT chip, the CTDA200M. Based on CMOS and III/V semiconductor technology, it is positioned as a high-performance ADC (analogue-to-digital converter) with 12-bit resolution and a 200 MSPS sampling rate, aimed at drones, smart devices, telecom, and defence. Manufacturing of the CTDA200M was undertaken by TSMC from July, followed by packaging and final testing at CT Semiconductor's ATP plants in Ho Chi Minh City and Hanoi, with commercialisation planned by year end. Meanwhile, the group's subsidiary CT Semiconductor is building three chip packaging and testing plants — two in the south and one in the north. Although the group currently operates in a fabless model — designing chips locally and outsourcing manufacturing — it plans eventually to cover the entire value chain, including lithography, assembly, packaging, and testing. A public-private partnership proposal on lithography infrastructure is currently being drafted.

In the last couple of days I saw news that Vietnam has begun producing special steel for high-speed rail, with technology from Britain and Germany — showing that Vietnam also has plans for high-speed rail localisation. It confirms once again that no one can weld shut the door of industrialisation.

Recently, Hoa Phat Group, Southeast Asia's largest steelmaker, held the groundbreaking ceremony for a high-speed rail steel rail and special steel plant in the Dung Quat Economic Zone, Quang Ngai Province. The project covers nearly 15 hectares, with total investment of over 10 trillion dong (about \$380 million), designed annual capacity of 700,000 tonnes, and plans to deliver the first batch of high-speed rail steel rails in 2027. Using advanced technology and equipment supplied by Germany and Britain, it will produce high-speed railway rails, urban rail rails, crane rails, U-, I-, H-, and V-shaped steel profiles, and various other special steels — making Hoa Phat the first and only enterprise in Southeast Asia capable of producing high-speed railway rails.

Military Industry

Artillery: Vietnam has independently developed a self-propelled howitzer, roughly at the level of India's domestic advanced howitzer, but with lower production costs, suitable for large-scale deployment:

According to Thailand's Asian Military Review website, on 9 September 2025, at the 80th National Achievement Exhibition in Hanoi at the end of August, Vietnam publicly displayed for the first time the PTH-152 truck-mounted 152 mm howitzer developed by Viettel, the state-owned defence enterprise. Based on the Soviet D-20 152 mm howitzer and a KAMAZ 8×8 tactical truck, it possesses strong mobility and rapid-response capability. Vietnam has not yet announced a deployment date for the new system, but it is expected that the Vietnam People's Army will continue to promote such equipment to improve artillery mobility, survivability, and coastal defence capability.

Infantry fighting vehicles: Vietnam has not developed a domestic tank, but it has developed an infantry fighting vehicle.

This vehicle is said to have reached the level of China's vehicles of 40 years ago; see this WeChat article:

Anti-ship missiles: Vietnam has developed Southeast Asia's first domestic anti-ship missile; the maximum range of its improved variant reaches 300 km, able to cover basically all the disputed waters with neighbouring countries. Its performance is said to be close to China's YJ-83 of 1998, with considerable real combat capability. Indonesia is also developing anti-ship missiles, but has not yet succeeded.

The VSM-01A "Song Hong" missile is Vietnam's first domestically produced anti-ship missile; "VSM" stands for Vietnam Shipborne Missile. The VSM-01A is about 5 metres long, weighs about 600 kg, is powered by Vietnam's domestic VJE-01 turbojet engine, and is said to reach high subsonic speed with a maximum range of about 80 km. The missile is believed to have begun deployment with the Vietnam People's Navy, and is planned to replace the Soviet-era P-15 and P-20 anti-ship missiles. The recent

exercise was organised by the Vietnam People's Army, mobilising more than 15,600 soldiers and a great deal of weaponry. The most closely watched highlight was the new missile developed by Viettel — the VCM-B, derived from the VCM-01 anti-ship missile, with long-range coastal defence capability. According to public information, the missile has a maximum range of 300 km, far exceeding previous domestic Vietnamese models.

Vietnam focuses on developing its army and coastal defence missiles; the purpose is perfectly obvious, and shows the profound influence of the last war on Vietnam.

Summary

Vietnam's overall level of infrastructure and industrial development is roughly equivalent to China's around 2007. Vietnam's urbanisation rate is currently about 40%, equivalent to China's level of 2004. By 2030, Vietnam's urbanisation is expected to exceed 50% (China's 2010 level), approaching the Lewis turning point, and wages will rise substantially. Vietnam's working-age population already peaked around 2015; the demographic dividend can last until about 2040. Vietnam's industrial upgrading must be launched in the next decade and achieve initial results; otherwise, as labour costs rise and foreign capital moves to South Asia, Indonesia, and elsewhere, a sharp drop in growth is quite possible.

The Vietnamese government is investing broadly in human capital (universal senior secondary education, English education, etc.) and in key industries (EVs, chips, etc.), hoping to complete industrial upgrading within 20 years. Against the background of great-power competition, and with the advantage of geographic proximity to China, this goal is very likely to be achieved. Vietnam's recent anti-corruption drive and streamlining of government — a key purpose of which is to reduce waste and increase development funds while attracting investment — also serves this grand strategy.

Vietnam's rise has reached 50% of the progress bar; in the next 20–30 years it will most likely complete the remaining 50%.

This article was originally published on Zhihu (in Chinese): <https://www.zhihu.com/question/1925659942712480456/answer/1986750643092857528> Author: 最最遥远的路 · Zhihu profile: <https://www.zhihu.com/people/zui-zui-yao-yuan-de-lu-32/posts>

本文原发表于知乎专栏/回答（中文）： <https://www.zhihu.com/question/1925659942712480456/answer/1986750643092857528>；作者：最最遥远的路： <https://www.zhihu.com/people/zui-zui-yao-yuan-de-lu-32/posts>